

BEFORE THE FEDERAL MARITIME COMMISSION

INTERMODAL MOTOR CARRIERS CONFERENCE,)
AMERICAN TRUCKING ASSOCIATIONS, INC.)

Complainant,)

v.)

FMC Docket No. 20-14

OCEAN CARRIER EQUIPMENT MANAGEMENT)
ASSOCIATION, INC.; CONSOLIDATED CHASSIS)
MANAGEMENT, LLC; CMA CGM S.A.; COSCO)
SHIPPING LINES CO. LTD.; EVERGREEN LINE)
JOINT SERVICE AGREEMENT, FMC NO. 011982;)
HAPAG-LLOYD AG; HMM CO. LTD.; MAERSK)
A/S; MSC MEDITERRANEAN SHIPPING)
COMPANY S.A.; OCEAN NETWORK EXPRESS)
PTE. LTD.; WAN HAI LINES LTD.; YANG MING)
MARINE TRANSPORT CORP.; AND)
ZIM INTEGRATED SHIPPING SERVICES,)

Respondents.)

**ANSWER OF RESPONDENT COSCO SHIPPING LINES CO. LTD.
TO THE VERIFIED COMPLAINT**

Respondent COSCO SHIPPING Lines Co. Ltd. (“COSCO”), by and through its undersigned counsel, hereby answers the Verified Complaint of INTERMODAL MOTOR CARRIERS CONFERENCE and AMERICAN TRUCKING ASSOCIATIONS, INC. (collectively, “Complainant”) as follows.

INTRODUCTORY STATEMENT AND GENERAL DENIAL

The Complaint, rather than being a clear and concise factual statement of Complainant’s claims, is an amalgam of conclusory statements, vague and undefined terminology, select quotations from hearsay documents and legal conclusions. The Complainant’s lack of precision

and mischaracterizations of organizations impose an undue burden upon COSCO to answer within the rules governing pleadings.

COSCO accordingly generally denies the claims alleged by the Complainant and, to the best of its ability, sets forth the below specific responses to the numbered paragraphs of the Complaint.

1. Denies the allegations in Paragraph 1 alleged against COSCO, as they constitute legal conclusions to which no response is required. COSCO lacks sufficient information or knowledge to admit or deny allegations against the other Respondents.

2. Admits that the Consolidated Chassis Management Pool Agreement was filed in 2006 with the Federal Maritime Commission (“Agreement”), which document speaks for itself. Except as admitted, COSCO lacks sufficient information or knowledge to admit or deny whether OCEMA members sold their chassis to third-party providers and denies the remaining allegations of Paragraph 2 of the Complaint.

3. Denies the allegations in Paragraph 3 alleged against COSCO, as they constitute legal conclusions to which no response is required. COSCO lacks sufficient information or knowledge to admit or deny allegations against the other Respondents.

4. Denies the allegations in Paragraph 4 against COSCO, as they constitute legal conclusions to which no response is required. COSCO lacks sufficient information or knowledge to admit or deny allegations against the other Respondents.

5. Denies the allegations in Paragraph 5 against COSCO, as they constitute legal conclusions to which no response is required. COSCO lacks sufficient information or knowledge to admit or deny allegations against the other Respondents.

6. COSCO lacks sufficient information or knowledge to admit or deny.

7. COSCO admits that OCEMA is a District of Columbia non-profit corporation and denies the remaining allegations of the first sentence of Paragraph 7 of the Complaint. COSCO admits the allegations in the second sentence of Paragraph 7 of the Complaint. Admits only that the OCEMA website referenced in the third and fourth sentences of Paragraph 7 of the Complaint speaks for itself. Admits that OCEMA reaches agreements on policies relating to the operation of Chassis Pools, and denies the remaining allegations in the fifth sentence of Paragraph 7 of the Complaint. Admits only that the OCEMA website referenced in the sixth sentence of Paragraph 7 of the Complaint speaks for itself. Lacks sufficient information or knowledge to admit or deny the seventh sentence of Paragraph 7 of the Complaint as it does not specify the “Respondent” which it is referring to. COSCO denies the seventh sentence of the Complaint if OCEMA is the “Respondent” that this allegation is referring to.

8. COSCO admits that CCM is a Delaware limited liability company with headquarters located at 500 International Drive, Suite 130, Budd Lake, NJ 07828. COSCO denies that mwilson@ccmpool.com is the email address of CCM but admits that it is the email address of an employee of CCM. Admits only that the CCMP Agreement and the CCM website referenced in Paragraph 8 of the Complaint speak for themselves.

9. COSCO lacks sufficient information or knowledge to admit or deny.

10. COSCO admits that it is a Chinese global ocean carrier located at No. 378 Dong Da Ming Road, Shanghai, 200080, People’s Republic of China, that COSCO was established in 2016, that its U.S. office is located at 100 Lighting Way, Secaucus, NJ 070894, that it offers container transportation in 105 countries, that it serves multiple ports including New York, Norfolk, Savannah, Charleston, Miami, Chicago, Los Angeles and Long Beach, and that

jhoughta@cosco-usa.com is the email address of an employee of COSCO. Except as specifically admitted, COSCO denies the remaining allegations of Paragraph 10 of the Complaint.

11. COSCO lacks sufficient information or knowledge to admit or deny.

12. COSCO lacks sufficient information or knowledge to admit or deny.

13. COSCO lacks sufficient information or knowledge to admit or deny.

14. COSCO lacks sufficient information or knowledge to admit or deny.

15. COSCO lacks sufficient information or knowledge to admit or deny.

16. COSCO lacks sufficient information or knowledge to admit or deny.

17. COSCO lacks sufficient information or knowledge to admit or deny.

18. COSCO lacks sufficient information or knowledge to admit or deny.

19. COSCO lacks sufficient information or knowledge to admit or deny.

20. The allegations in Paragraph 20 constitute legal conclusions, to which no response is required. To the extent a response is required, COSCO denies the allegations of the first sentence of Paragraph 20 of the Complaint and, as to the second sentence, admits only that the Shipping Act speaks for itself.

21. The allegations of the first, third and fourth sentences of Paragraph 21 constitute legal conclusions to which no response is required and, to the extent a response is required, COSCO denies the allegations therein. As to the second sentence, admits only that FMC Agreement No. 011284 speaks for itself.

22. Admits only that the *Intermodal Factbook* referenced in Paragraph 22 of the Complaint speaks for itself and denies the remaining allegations in Paragraph 22 of the Complaint.

23. Lacks sufficient knowledge or information to admit or deny the allegations of Paragraph 23 because it makes no allegations against or which are specific to COSCO.

24. Lacks sufficient knowledge or information to admit or deny the allegations of Paragraph 24 because it makes no allegations against or which are specific to COSCO.

25. Lacks sufficient knowledge or information to admit or deny the allegations of Paragraph 25 because it makes no allegations against or which are specific to COSCO.

26. Admits only that the IANA publication referenced in the first sentence of Paragraph 26 of the Complaint speaks for itself and denies the allegations of the last sentence of Paragraph 26 of the Complaint.

27. Admits only that the IANA publication referenced in the second sentence of Paragraph 27 speaks for itself. Denies the allegations of the third sentence as to itself and lacks sufficient knowledge or information to admit or deny the remaining allegations of Paragraph 27 of the Complaint.

28. Admits only that the *Surface Transportation Board Oversight Hearing on Demurrage and Accessorial Charges* and *Operational and Commercial Changes in the Chassis World* referenced in the first and second sentences of Paragraph 28 speak for themselves. COSCO admits that it does not own chassis in the United States and lacks sufficient information or knowledge to admit or deny the remaining allegations of Paragraph 28 of the Complaint.

29. Admits that TRAC Intermodal, Direct ChassisLink Inc. and Flexi-Van lease chassis. COSCO lacks sufficient information or knowledge to admit or deny the remaining allegations of Paragraph 29 of the Complaint.

30. Lacks sufficient knowledge or information to admit or deny the allegations of Paragraph 30 because it makes no allegations against or which are specific to COSCO. COSCO lacks sufficient information or knowledge to admit or deny the allegations of Paragraph 30 of the Complaint against the other Respondents.

31. COSCO lacks sufficient information or knowledge to admit or deny.

32. Admits only that the documents referenced in Paragraph 32 of the Complaint speak for themselves and lacks sufficient knowledge or information to admit or deny the remaining allegations therein.

33. Admits only that the documents referenced in Paragraph 33 of the Complaint speak for themselves and lacks sufficient knowledge or information to admit or deny the remaining allegations therein.

34. Admits only that the documents referenced in Paragraph 34 of the Complaint speak for themselves and lacks sufficient knowledge or information to admit or deny the remaining allegations therein.

35. Admits only that the CCMP Agreement referenced in Paragraph 35 of the Complaint speak for themselves and lacks sufficient knowledge or information to admit or deny the remaining allegations therein.

36. Admits only that the documents referenced in Paragraph 36 of the Complaint speak for themselves and lacks sufficient knowledge or information to admit or deny the remaining allegations therein.

37. Admits only that the documents referenced in Paragraph 37 of the Complaint speak for themselves and lacks sufficient knowledge or information to admit or deny the remaining allegations therein.

38. Admits only that the Master Chassis Contribution Agreement referenced in Paragraph 38 of the Complaint speaks for itself and lacks sufficient knowledge or information to admit or deny the remaining allegations therein.

39. COSCO lacks sufficient information or knowledge to admit or deny the first sentence of Paragraph 39 of the Complaint. Admits only that the 2019 report of the Memphis Supply Chain Innovation Team referenced therein speaks for itself and lacks sufficient knowledge or information to admit or deny the remaining allegations therein.

40. Admits only that the statement of Commissioner Rebecca Dye referenced in Paragraph 40 of the Complaint speaks for itself and lacks sufficient knowledge or information to admit or deny the remaining allegations therein.

41. Admits only that the OCEMA statements referenced in Paragraph 41 of the Complaint speak for themselves and lacks sufficient knowledge or information to admit or deny the remaining allegations therein.

42. Admits only that the publication *Interoperability Matters! The Interoperable Gray Pool Model, Enhancing Supply Chain Efficiencies*, speaks for itself. Denies that statements by CCM are attributable to OCEMA. The last sentence of Paragraph 42 constitutes a legal conclusion to which no response is required and, to the extent a response is required, COSCO denies the allegations therein. Lacks sufficient knowledge or information to admit or deny the remaining allegations of Paragraph 42 of the Complaint.

AS TO THE CLAIMS OF UNJUST AND UNREASONABLE CONDUCT

43. Denies the allegations in Paragraph 43 alleged against COSCO, as they constitute legal conclusions to which no response is required. Further, denies that ocean carriers are members of pools managed by CCM.

44. Admits only that the CCMP Operations Manual referenced in Paragraph 44 of the Complaint speaks for itself. Denies the second sentence of Paragraph 44 because the quotation from the CCMP Operations Manual is supplemented by bracketed commentary that renders the

allegation incorrect and misleading. Further, denies the remaining allegations of Paragraph 44 as to COSCO as they constitute legal conclusions to which no response is required. COSCO lacks sufficient information or knowledge to admit or deny the allegations of Paragraph 44 of the Complaint against the other Respondents.

45. COSCO lacks sufficient information or knowledge to admit or deny.

46. Admits only that a website listing exists at the address referenced in Paragraph 46 of the Complaint and that the CCM website speaks for itself, but lacks sufficient information or knowledge to admit or deny the remaining allegations of the first, second, and third sentences of Paragraph 46 of the Complaint. COSCO lacks sufficient information or knowledge to admit or deny the allegations of the fourth and fifth sentences of Paragraph 46 of the Complaint. Denies the allegations in the sixth sentence as they constitute legal conclusions to which no response is required.

47. Admits only that the Dye Statement referenced in the second and third sentences of Paragraph 47 of the Complaint speaks for itself. Denies the first sentence of Paragraph 47 of the Complaint as to COSCO, and lacks sufficient information or knowledge to admit or deny the allegations against the other Respondents.

48. Denies the allegations of Paragraph 48 of the Complaint against COSCO, as they constitute legal conclusions to which no response is required. COSCO lacks sufficient information or knowledge to admit or deny the remaining allegations of Paragraph 48 against the other Respondents.

49. Denies the allegations of Paragraph 49 of the Complaint against COSCO, and lacks sufficient information or knowledge to admit or deny the allegations of Paragraph 49 against the other Respondents.

50. Admits only that the reference to *Interpretive Rule on Demurrage and Detention Under the Shipping Act* in the second sentence speaks for itself, and denies the allegations in the first and third sentences of Paragraph 50 of the Complaint against COSCO, as they constitute legal conclusions to which no response is required. COSCO lacks sufficient information or knowledge to admit or deny the allegations in the first and third sentences of Paragraph 50 against the other Respondents.

51. COSCO denies the allegations of the first sentence of Paragraph 51 of the Complaint and lacks sufficient information or knowledge to admit or deny the allegations of the second sentence of Paragraph 51 of the Complaint.

52. COSCO admits the allegations in Paragraph 52 of the Complaint as to itself. COSCO lacks sufficient information or knowledge to admit or deny the allegations of Paragraph 52 against the other Respondents.

53. Denies the allegations of Paragraph 53 of the Complaint as to COSCO, as they constitute legal conclusions to which no response is required. COSCO lacks sufficient information or knowledge to admit or deny the remaining allegations of Paragraph 53 alleged against the other Respondents.

54. COSCO lacks sufficient information or knowledge to admit or deny.

55. COSCO lacks sufficient information or knowledge to admit or deny the allegations of the first sentence of Paragraph 55 of the Complaint because the term interoperable is vague and not defined. As to the second sentence, admits only that the reference to the Pool of Pools website speaks for itself.

56. Denies the allegations of Paragraph 56 alleged against COSCO, as they constitute legal conclusions to which no response is required. COSCO lacks sufficient information or

knowledge to admit or deny the remaining allegations of Paragraph 56 against the other Respondents. And, answering further, notes that the quotations and references from the Trac Intermodal and Pool of Pool websites speak for themselves.

**AS TO THE CLAIMS OF UNJUST AND
UNREASONABLE REGULATIONS AND PRACTICES**

57. Denies the allegations of Paragraph 57 of the Complaint as it consists of conclusory statements and legal conclusions and lacks sufficient specificity to enable COSCO to form a response thereto. COSCO lacks sufficient information or knowledge to admit or deny the remaining allegations of Paragraph 57 against the other Respondents.

58. COSCO lacks sufficient information or knowledge to admit or deny.

59. Denies the allegations of Paragraph 59 of the Complaint.

60. COSCO lacks sufficient information or knowledge to admit or deny.

61. COSCO lacks sufficient information or knowledge to admit or deny.

62. COSCO lacks sufficient information or knowledge to admit or deny.

63. COSCO lacks sufficient information or knowledge to admit or deny.

64. COSCO lacks sufficient information or knowledge to admit or deny.

65. COSCO lacks sufficient information or knowledge to admit or deny.

66. COSCO lacks sufficient information or knowledge to admit or deny.

67. COSCO lacks sufficient information or knowledge to admit or deny.

68. COSCO lacks sufficient information or knowledge to admit or deny.

69. Denies the allegations of Paragraph 69 alleged against COSCO. COSCO lacks sufficient information or knowledge to admit or deny the remaining allegations of Paragraph 69 against the other Respondents.

AS TO THE CAUSE OF ACTION THAT RESPONDENTS'

REGULATIONS AND PRACTICES VIOLATE 46 U.S.C. § 41102(C)

70. COSCO repeats and realleges each and every admission, denial, and denial of knowledge or information made in response to the allegations of Paragraph 1 through 69 of the Complaint as if the same were set forth at length herein.

71. Denies the allegations of Paragraph 71 as they constitute legal conclusions to which no response is required.

72. Denies the allegations of Paragraph 72 as they constitute legal conclusions to which no response is required.

73. Denies the allegations of Paragraph 73 as they constitute legal conclusions to which no response is required.

74. Denies the allegations of Paragraph 74 as they constitute legal conclusions to which no response is required.

75. Denies the allegations of Paragraph 75 as they constitute legal conclusions to which no response is required.

76. Denies the allegations of Paragraph 76 as they constitute legal conclusions to which no response is required.

77. Denies the allegations of Paragraph 77 as they constitute legal conclusions to which no response is required.

78. Denies the allegations of Paragraph 78 as they constitute legal conclusions to which no response is required.

79. Denies the allegations of Paragraph 79 as they constitute legal conclusions to which no response is required.

AS TO THE CLAIM OF INJURY

80. Denies the allegations of Paragraph 80 as they constitute legal conclusions to which no response is required.

81. Denies the allegations of Paragraph 81 as they constitute legal conclusions to which no response is required.

82. Denies the allegations of Paragraph 82 as they constitute legal conclusions to which no response is required.

AFFIRMATIVE DEFENSES

1. The Federal Maritime Commission lacks subject matter jurisdiction.
2. Complainant has failed to join indispensable parties.
3. Complainant has failed to state a claim upon which relief can be granted.
4. Complainant has failed to allege sufficient facts to state a claim for relief.
5. Complainant lacks standing.
6. Complainant did not suffer any actual injury.
7. Complainant fails to demonstrate causation for its alleged injury.
8. The Federal Maritime Commission lacks jurisdiction over Respondents, Ocean Carrier Equipment Management Association, Inc. and Consolidated Chassis Management, LLC.
9. Complainant's claims are barred in whole or in part by the doctrines of waiver, estoppel and/or laches.
10. Complainant's claims are barred by the doctrine of unclean hands.
11. Complainant's claims are barred in whole or in part by reason of ratification, agreement, or consent to the alleged conduct by Complainant and/or its members.

WHEREFORE Respondent, COSCO SHIPPING Lines Co. Ltd, prays that the Complaint in this proceeding be dismissed with prejudice.

Respectfully submitted,

COZEN O'CONNOR

By: 

Counsel for Respondent COSCO SHIPPING Lines Co. Ltd.
Wayne R. Rohde
Christopher Raleigh
Kathryn Sobotta
Cozen O'Connor
1200 Nineteenth Street, NW
Washington, D.C. 20036
wrohde@cozen.com
craleigh@cozen.com
ksobotta@cozen.com

DATED: February 17, 2021

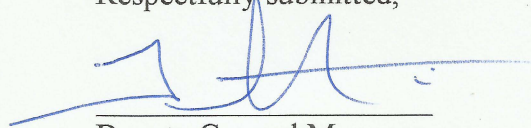
VERIFICATION

James Houghtalin, hereby verifies as follows:

1. I am the Deputy General Manager at COSCO SHIPPING Lines (North America) Inc.
2. I am authorized to make this verification on behalf of the Answering Respondent.
3. I hereby verify that the facts contained in the foregoing answer and affirmative defenses are true and correct to the best of my knowledge, information, and belief.
4. I verify the foregoing under penalty of perjury under the laws of the United States.

Dated: February 17th 2021

Respectfully submitted,



Deputy General Manager
COSCO SHIPPING Lines (North America) Inc.
on behalf of
COSCO SHIPPING Lines Co., Ltd.